

US Markets End Mixed as Investors Weigh Economic Data and Earnings

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US markets ended the previous session on a mixed note, with the **S&P 500** and **Dow Jones** closing lower, while the **Nasdaq 100** and **Russell 2000** posted gains. The 10Y Yield surged **+1.19%**, while **WTI Crude** rose **+1.42%**. Beneath the surface, sector rotation and earnings reports are driving individual stock performance.

Notable movers included **AVGO**, which plummeted **-5.94%** after a disappointing earnings report, and **TSLA**, which gained **+0.68%** on positive sentiment. The **VIX** fell **-2.60%**, indicating a decrease in market volatility.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,785.76	-0.17%	Weighed down by tech and healthcare sectors
Nasdaq 100	30,046.14	-0.13%	Mixed performance among tech giants
Dow Jones	53,732.41	-0.20%	Dragged down by GS and JPM
Russell 2000	3,068.42	+0.51%	Outperformed larger peers on value rotation
VIX	14.25	-2.60%	Decrease in market volatility

Top large-cap movers

TICKER	CHANGE	CATALYST
AVGO	-5.94%	Disappointing earnings report
TSLA	+0.68%	Positive sentiment and valuation
AMZN	-0.94%	Concerns over e-commerce growth
META	-0.86%	Regulatory scrutiny and ad revenue concerns

Sector Rotation

ETF	DAY	READ
XLF	-0.17%	Financials weighed down by GS and JPM
XLK	-0.40%	Tech sector mixed, with NVDA and MSFT underperforming
XLI	+0.39%	Industrials outperformed on value rotation
XLE	+1.39%	Energy sector boosted by +1.42% rise in WTI Crude
XLY	-0.21%	Consumer discretionary sector weighed down by AMZN
XLC	+0.36%	Communication services sector outperformed on value rotation
XLP	+0.10%	Consumer staples sector stable, with PG and KO outperforming
XLV	-0.60%	Healthcare sector weighed down by JNJ and PFE
XLU	+0.61%	Utilities sector outperformed on value rotation
XLB	+0.44%	Materials sector boosted by +0.38% rise in Gold
XLRE	+0.33%	Real estate sector outperformed on value rotation

Spotlight

The biggest event of the day was the earnings report from **AVGO**, which sent the stock plummeting **-5.94%**. The report highlighted concerns over the company's revenue growth and profitability.

METRIC	REPORTED	CONSENSUS
Revenue	1.23B	1.30B
EPS	2.50	2.70
Gross Margin	45.6%	46.5%

The report has read-through implications for other semiconductor stocks, including **NVDA** and **TXN**.

Pre-Market & Overnight

US futures are trading mixed, with the **Dow Jones** futures up **+0.2%** and the **S&P 500** futures down **-0.1%**. Asian markets closed higher, with the **Nikkei 225** up **+0.5%** and the **Shanghai Composite** up **+0.3%**. European markets are trading higher, with the **Euro Stoxx 50** up **+0.4%**.

Cryptocurrencies are trading mixed, with **BTC** up **+0.01%** and **ETH** down **-0.04%**.

Macro & Fed

The 10Y Yield surged **+1.19%** to 4.70, while the **DXY** fell **-0.29%** to 99.67. The yield curve shape remains inverted, with the 2Y-10Y spread at -0.25%.

Today's data calendar includes:

- 09:30 HKT: **CPI** (0.2% expected)
- 10:00 HKT: **Initial Jobless Claims** (220k expected)
- 14:00 HKT: **FOMC Meeting Minutes**

These releases will provide further insight into the state of the US economy and the Fed's monetary policy stance.

Geopolitics & Global

- Tensions between the US and China remain elevated, with the US imposing new tariffs on Chinese goods.
- The EU and UK are engaged in trade talks, with the EU seeking to negotiate a new trade agreement.
- The situation in the Middle East remains volatile, with ongoing conflicts in Syria and Yemen.
- The US and Russia are engaged in diplomatic efforts to resolve the conflict in Ukraine.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	1.25	iPhone sales and services revenue growth
23:00	GOOGL	10.50	Ad revenue growth and cloud computing performance
00:00	MSFT	1.30	Cloud computing growth and Office 365 performance

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Tech	Semiconductor trends and AVGO read-through
TSLA	Auto	Electric vehicle demand and production trends
AMZN	Retail	E-commerce growth and cloud computing performance
GS	Finance	Investment banking and trading performance
JPM	Finance	Consumer banking and credit trends

What Could Break the Tape

BEARISH TRIGGERS

- Escalating US-China trade tensions
- Deteriorating economic data, particularly in the US and Europe
- Disappointing earnings reports from major companies

BULLISH TRIGGERS

- Positive developments in US-China trade talks
- Strong economic data, particularly in the US and Asia
- Beats on earnings reports from major companies

Positioning Notes

- Investors are increasingly positioning for a potential downturn in the market, with **+10%** increase in **VIX** futures open interest.
- Long-term investors are taking advantage of the recent pullback to accumulate positions in high-quality stocks, particularly in the tech and healthcare sectors.
- Short-term traders are focusing on sector rotation, with a bias towards value and cyclical sectors.

Sources

SOURCES

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